

OSS - One Stop Systems | Full Deep Dive

September 21, 2026 | Framework 6.0.2 | NOT HELD | STRUCTURAL - rugged edge compute qualification; early commercial scale | Watchlist

Analytical Base: 42/60 (70%). Valuation: 20x forward four-quarter normalized GAAP-style operating profit, including recurring stock compensation.

Snapshot: USD 9.05 per share on September 18, 2026 close; 24.945 million shares, implying USD 225.75 million equity value. Source [OSS-8]. Price is a dated header snapshot, not a valuation input in the body.

Active horizon Q3 2027 ceiling: USD 1.31/share. Q1 2028: USD 3.50/share.

All financial model amounts are USD millions, shares in millions, unless stated. December fiscal year; calendar quarters. Bressner discontinued operations are excluded throughout.

1. Thesis, bottleneck and expanded TAM

OSS translates commercial accelerator performance into systems that tolerate vibration, heat and limited space. Its framework exposure is edge AI, autonomy and defense sensor processing. Qualification and program incumbency can sustain repeat orders, but OSS does not manufacture an irreplaceable accelerator. The bottleneck is certified system integration and deployment, not scarce silicon ownership.

The attractive transition is from customer-funded development to production platforms. Medical imaging, military short-depth servers and autonomous equipment contributed to Q2 growth. Firm order value, prospective program value and recognized revenue are three different quantities. The \$44M intelligence-platform opportunity is a four-year management estimate, not \$44M of annual backlog. [OSS-1, OSS-2]

A software-like earnings margin is inappropriate for this hardware integrator. Gross margin depends on prototype versus production mix, component availability and engineering recovery. The model includes continuing stock compensation in costs and removes only the discrete legacy settlement from the forward recurring cost baseline.

The annual-report competition discussion names Mercury, Crystal, Curtiss-Wright, Kontron, Trenton, Core Systems and Systel. Ruggedness alone is not exclusive; performance, certification, delivery and integration support decide design wins. Broad enterprise servers also compete where environmental requirements are less demanding. No unsupported monopolistic market share is assumed. [OSS-7]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
Phase 1 - current, 100% relevance	Defense and specialized commercial production programs	Existing products and initial orders anchor revenue
Phase 2 - 2027-2030, 50% conceptual weight	Robotics, autonomous vehicles and broader edge inference	Probability-weighted program conversion within production revenue
Phase 3 - later, 20% conceptual weight	Army vehicle vision and additional unawarded deployments	No standalone order value booked before selection

S-curve: early production scale, with positive operating leverage still to be demonstrated. There is no sufficiently specific sourced industry TAM for OSS revenue capture, so the model uses program economics rather than a percentage of total AI spending. For 2027, \$31M of repeat/core production plus \$8M intelligence-platform revenue and \$8M other program production gives \$47M; \$4M development brings sales to \$51M. These are mutually exclusive analyst buckets, not reported segments.

2. Latest evidence and financial anchor

Latest Q2 release raised 2026 continuing revenue growth to 25-30%. Quarterly bookings were \$15.1M; the order intake supports growth but is not recognized sales. Q2 gross margin was 39.1%, and its \$6.25M settlement materially distorted reported operating expense. [OSS-1]

Two-call review: the May 6 call described cost pass-through and longer memory procurement lead times. The August 5 call described funded prototypes and new production activity, while Army vision opportunities remained in evaluation. The forecast does not carry Q1's unusually high gross margin into every future quarter. [OSS-2, OSS-3]

Subsequent company disclosures add a \$1.3M initial Navy storage order with delivery in 2026 and a \$0.4M missile-defense modeling/simulation award. The possible \$2.5M Navy follow-on over four years is contingent. These awards support the guided production envelope; they are not added a second time above the annual guide. [OSS-4, OSS-5]

Period	Status	Revenue	Gross profit	Operating profit	Source
Q1 2026	Actual; GP/OP derived from rounded disclosure	8.10	4.18	-0.62	OSS-3
Q2 2026	Actual; GP/OP derived from rounded disclosure	9.30	3.64	-7.66	OSS-1

FY2025 continuing sales of \$32.2M x 1.275 = \$41.055M FY2026 revenue, the latest growth-guide midpoint. Subtracting rounded H1 revenue of \$17.4M leaves \$23.655M for H2. Q3/Q4 allocation of \$11.2M/\$12.455M is analyst timing. H1 gross profit uses reported H1 margin of 44.9% rather than adding rounded quarterly margins, whose rounding does not reconcile exactly.

Full-year gross-margin commentary of approximately 40% implies H2 gross profit of \$8.6094M. With \$2.2M development revenue at 30% margin, remaining production margin is calibrated to 37.0513%. Management EBITDA aspirations are not substituted for operating profit: modeled recurring H2 OP remains negative after stock compensation and depreciation. No new settlement charge is assumed. [OSS-1, OSS-2]

Balance sheet and capital allocation

June cash and short-term investments were \$31.4M, with no debt noted on the call. Inventory rose to support delivery; liquidity is not a substitute for program conversion. The August shelf filing reports 24.945M common shares, 0.529M options and 1.040M RSUs. A shelf registration authorizes possible issuance; it does not establish that all securities have been sold. [OSS-1, OSS-2, OSS-6]

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis	14	Qualification moat and demanding environments, but several credible competitors
Cycle Stage	8	Development-to-production inflection, bookings ahead of sales
TAM Expansion	8	Defense, robotics and medical paths; no broad AI TAM capture assumed
Catalysts	4	2026 initial orders and 2027 program scaling
Macro	8	Defense and edge autonomy demand; component cost sensitivity
Alpha	4	Small coverage universe and continuing/discontinued accounting distinction
Risks	-4	Conversion, execution, concentration and dilution
Total	42/60 = 70%	Watchlist

4. Quarterly operating model

Two analytical vectors: shipped production systems and funded development/prototypes. The company reports one continuing segment; this split is a modeling proxy. Gross profit is calculated separately. R&D and SG&A allocations expose a combined absolute recurring expense budget, including ordinary depreciation and stock compensation. The split between expense categories is estimated because the latest release provides aggregate opex.

Revenue vector	Driver and source	Confidence
Production systems	OSS-1/2/4/5; reported total calibrated in 2026, program-led proxy thereafter	MEDIUM 2026; LOW 2027 onward
Funded development and prototypes	OSS-2 Q2 development disclosure; analyst recognition profile and conversion assumptions	LOW allocation; total 2026 guide is MEDIUM

2027 product revenue grows through program conversion, not an ASP increase: reference realized product ASP is indexed at 100 in 2026 and held flat. Consequently the product-revenue index also represents shipment-equivalent growth; units cannot be reconstructed reliably across heterogeneous server configurations. The \$8M intelligence allocation approximates \$11M annual opportunity x 73% timing/conversion. Other production assumes about \$11.4M unweighted opportunity x 70%, spread across medical, autonomy and newer defense work. These are scenario probabilities, not company forecasts. Beyond 2027, repeat products and follow-on awards must replenish the book; annual product revenue rises to \$60M/\$72M/\$84M as scale improves. No additional broad-TAM option is layered on top.

Physical and commercial drivers

Year	Production revenue	Development	Recurring opex	Product GM	
2027		47.0	4.0	21.8	42%
2028		60.0	4.5	23.4	44%
2029		72.0	5.0	25.4	45%
2030		84.0	5.0	27.4	45%

Vector revenue, gross margin and gross profit

For each row: vector gross profit = vector revenue x its own gross margin. The following tables expose the inputs; they are analyst model assumptions unless explicitly identified as reported or guided.

Production systems

Quarter	Revenue	Gross margin	Gross profit	
Q3 2026		10.20	37.05%	3.78
Q4 2026		11.26	37.05%	4.17
Q1 2027		10.34	42.00%	4.34
Q2 2027		11.28	42.00%	4.74
Q3 2027		12.22	42.00%	5.13
Q4 2027		13.16	42.00%	5.53
Q1 2028		13.20	44.00%	5.81
Q2 2028		14.40	44.00%	6.34
Q3 2028		15.60	44.00%	6.86
Q4 2028		16.80	44.00%	7.39
Q1 2029		15.84	45.00%	7.13
Q2 2029		17.28	45.00%	7.78
Q3 2029		18.72	45.00%	8.42
Q4 2029		20.16	45.00%	9.07
Q1 2030		18.48	45.00%	8.32
Q2 2030		20.16	45.00%	9.07
Q3 2030		21.84	45.00%	9.83
Q4 2030		23.52	45.00%	10.58

Funded development and prototypes

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	1.00	30.00%	0.30
Q4 2026	1.20	30.00%	0.36
Q1 2027	1.00	35.00%	0.35
Q2 2027	1.00	35.00%	0.35
Q3 2027	1.00	35.00%	0.35
Q4 2027	1.00	35.00%	0.35
Q1 2028	1.12	38.00%	0.43
Q2 2028	1.12	38.00%	0.43
Q3 2028	1.12	38.00%	0.43
Q4 2028	1.12	38.00%	0.43
Q1 2029	1.25	40.00%	0.50
Q2 2029	1.25	40.00%	0.50
Q3 2029	1.25	40.00%	0.50
Q4 2029	1.25	40.00%	0.50
Q1 2030	1.25	40.00%	0.50
Q2 2030	1.25	40.00%	0.50
Q3 2030	1.25	40.00%	0.50
Q4 2030	1.25	40.00%	0.50

Combined quarterly earnings

Quarter	Status	Revenue	Gross profit	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	Model	11.20	4.08	1.43	3.67	0.00	-1.02	-9.11% neg
Q4 2026	Model	12.46	4.53	1.46	3.74	0.00	-0.67	-5.38% neg
Q1 2027	Model	11.34	4.69	1.48	3.82	0.00	-0.61	-5.35% neg
Q2 2027	Model	12.28	5.09	1.51	3.89	0.00	-0.31	-2.54% neg
Q3 2027	Model	13.22	5.48	1.54	3.96	0.00	-0.02	-0.13% neg
Q4 2027	Model	14.16	5.88	1.57	4.03	0.00	0.28	1.96%
Q1 2028	Model	14.32	6.24	1.60	4.10	0.00	0.54	3.74%
Q2 2028	Model	15.52	6.76	1.62	4.18	0.00	0.96	6.21%
Q3 2028	Model	16.73	7.29	1.65	4.25	0.00	1.39	8.32%
Q4 2028	Model	17.93	7.82	1.68	4.32	0.00	1.82	10.15%
Q1 2029	Model	17.09	7.63	1.74	4.46	0.00	1.43	8.36%
Q2 2029	Model	18.53	8.28	1.76	4.54	0.00	1.98	10.66%
Q3 2029	Model	19.97	8.92	1.79	4.61	0.00	2.52	12.64%
Q4 2029	Model	21.41	9.57	1.82	4.68	0.00	3.07	14.35%
Q1 2030	Model	19.73	8.82	1.88	4.82	0.00	2.12	10.72%
Q2 2030	Model	21.41	9.57	1.90	4.90	0.00	2.77	12.95%
Q3 2030	Model	23.09	10.33	1.93	4.97	0.00	3.43	14.85%
Q4 2030	Model	24.77	11.08	1.96	5.04	0.00	4.08	16.49%

Annual trajectory cross-check

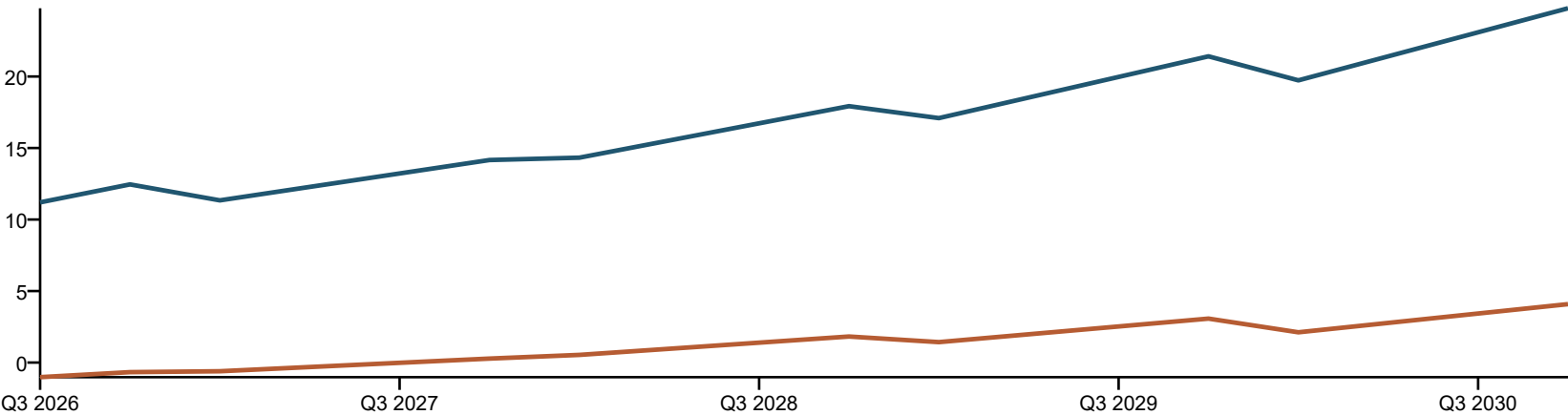
The calendar-bucket sums below are a capacity and demand cross-check; quarterly windows remain the live valuation method. Years beyond the latest guidance are model extensions, not company guidance.

Year	Revenue	Operating profit	OP margin
2027	51.00	-0.66	-1.29%
2028	64.50	4.71	7.30%
2029	77.00	9.00	11.69%
2030	89.00	12.40	13.93%

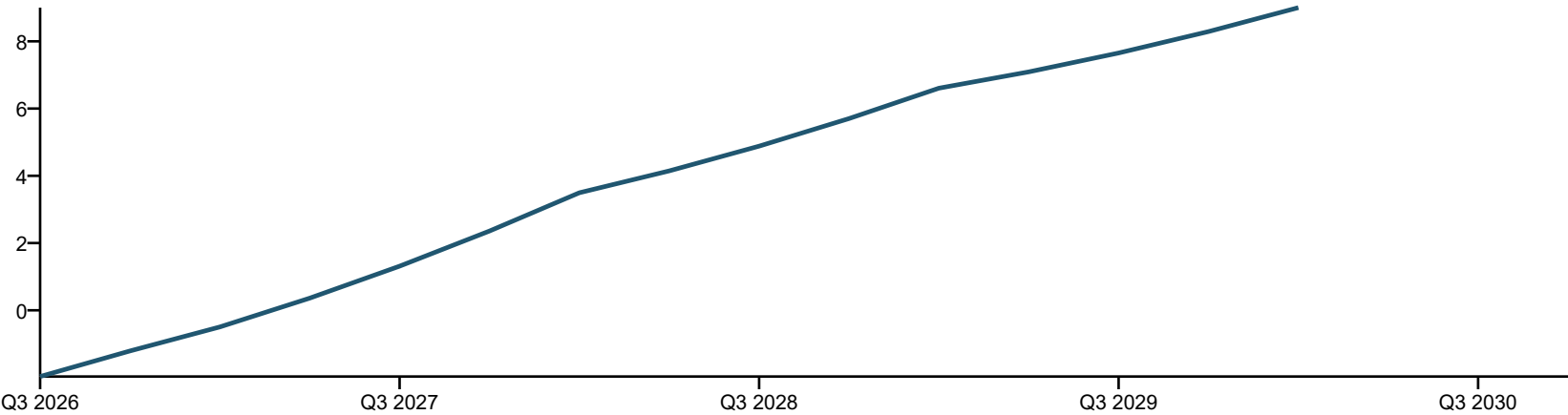
The path grows from \$41.055M in 2026 to \$51M in 2027 and \$89M in 2030. Production mix and fixed-cost absorption, rather than an exceptional Q1 margin, produce the earnings inflection. The recurring 2027 operating result is still near break-even. A hypothetical 10% shipment shortfall in 2027 removes roughly \$2M product GP before cost actions, enough to reverse that inflection. Later profits require follow-on awards beyond the initial disclosed orders.

5. Forward four-quarter ceiling and derivations

Revenue (blue), operating profit (orange) - USD M



Forward-four-quarter ceiling - USD/share



20x forward-four-quarter normalized GAAP-style operating profit, including recurring stock compensation is the portfolio owner-selected multiple as of September 21, 2026, held constant across the model. This is the framework operating-profit convention, not an observed market P/E. A one-turn change changes each ceiling by 5%. Recurring stock compensation remains expensed. Negative near-term ceilings are arithmetic loss markers, not executable negative stock prices.

The framework convention applies the operating-profit multiple directly to diluted equity shares. It is neither a net-income P/E nor an enterprise-value bridge. No separate net-cash addition, tax conversion, probability haircut or price-dependent ranking enters this ceiling. Any probability-weighted revenue is already included once in its operating vector.

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q3 2026	Q3 2026 to Q2 2027	-2.61	20x	26.500	-1.97 neg
Q4 2026	Q4 2026 to Q3 2027	-1.61	20x	26.575	-1.21 neg
Q1 2027	Q1 2027 to Q4 2027	-0.66	20x	26.650	-0.50 neg
Q2 2027	Q2 2027 to Q1 2028	0.48	20x	26.725	0.36
Q3 2027	Q3 2027 to Q2 2028	1.76	20x	26.800	1.31
Q4 2027	Q4 2027 to Q3 2028	3.17	20x	26.875	2.36
Q1 2028	Q1 2028 to Q4 2028	4.71	20x	26.950	3.50
Q2 2028	Q2 2028 to Q1 2029	5.60	20x	27.025	4.15
Q3 2028	Q3 2028 to Q2 2029	6.62	20x	27.100	4.88
Q4 2028	Q4 2028 to Q3 2029	7.75	20x	27.175	5.70
Q1 2029	Q1 2029 to Q4 2029	9.00	20x	27.250	6.61
Q2 2029	Q2 2029 to Q1 2030	9.69	20x	27.325	7.09
Q3 2029	Q3 2029 to Q2 2030	10.48	20x	27.400	7.65
Q4 2029	Q4 2029 to Q3 2030	11.39	20x	27.475	8.29
Q1 2030	Q1 2030 to Q4 2030	12.40	20x	27.550	9.00

Complete derivation for every ceiling quarter

Q3 2026: OP window Q3 2026 to Q2 2027: $(-1.02 + -0.67 + -0.61 + -0.31) \times 20 / 26.500 = \text{USD } -1.97$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2026: OP window Q4 2026 to Q3 2027: $(-0.67 + -0.61 + -0.31 + -0.02) \times 20 / 26.575 = \text{USD } -1.21$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2027: OP window Q1 2027 to Q4 2027: $(-0.61 + -0.31 + -0.02 + 0.28) \times 20 / 26.650 = \text{USD } -0.50$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2027: OP window Q2 2027 to Q1 2028: $(-0.31 + -0.02 + 0.28 + 0.54) \times 20 / 26.725 = \text{USD } 0.36$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2027: OP window Q3 2027 to Q2 2028: $(-0.02 + 0.28 + 0.54 + 0.96) \times 20 / 26.800 = \text{USD } 1.31$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2027: OP window Q4 2027 to Q3 2028: $(0.28 + 0.54 + 0.96 + 1.39) \times 20 / 26.875 = \text{USD } 2.36$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2028: OP window Q1 2028 to Q4 2028: $(0.54 + 0.96 + 1.39 + 1.82) \times 20 / 26.950 = \text{USD } 3.50$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2028: OP window Q2 2028 to Q1 2029: $(0.96 + 1.39 + 1.82 + 1.43) \times 20 / 27.025 = \text{USD } 4.15$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2028: OP window Q3 2028 to Q2 2029: $(1.39 + 1.82 + 1.43 + 1.98) \times 20 / 27.100 = \text{USD } 4.88$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2028: OP window Q4 2028 to Q3 2029: $(1.82 + 1.43 + 1.98 + 2.52) \times 20 / 27.175 = \text{USD } 5.70$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2029: OP window Q1 2029 to Q4 2029: $(1.43 + 1.98 + 2.52 + 3.07) \times 20 / 27.250 = \text{USD } 6.61$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2029: OP window Q2 2029 to Q1 2030: $(1.98 + 2.52 + 3.07 + 2.12) \times 20 / 27.325 = \text{USD } 7.09$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2029: OP window Q3 2029 to Q2 2030: $(2.52 + 3.07 + 2.12 + 2.77) \times 20 / 27.400 = \text{USD } 7.65$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2029: OP window Q4 2029 to Q3 2030: $(3.07 + 2.12 + 2.77 + 3.43) \times 20 / 27.475 = \text{USD } 8.29$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2030: OP window Q1 2030 to Q4 2030: $(2.12 + 2.77 + 3.43 + 4.08) \times 20 / 27.550 = \text{USD } 9.00$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

The final three operating quarters support earlier four-quarter windows and have no standalone ceiling. Arithmetic uses unrounded inputs; displayed components are rounded for readability.

Forecast diluted shares begin at 26.5M, near basic shares plus the disclosed options and RSUs, then increase 0.075M per quarter for future compensation/issuance risk. This intentionally avoids assuming anti-dilutive securities disappear permanently just because a reported quarter loses money. No speculative acquisition or full shelf draw is built in.

Mechanical share sensitivity

Q1 2028 denominator	Ceiling/share
Current model	3.50
5% more shares	3.33
10% more shares	3.18

6. Cross-book relationships and monitoring

NVIDIA, AMD, Intel and Broadcom supply enabling compute/interconnect technology; supplier upside does not automatically become OSS margin. OSS captures systems integration and qualification economics. [OSS-6]

Micron and other memory suppliers can benefit from rising prices while OSS absorbs procurement and working-capital pressure. Model pass-through with a lag, not simultaneous unqualified margin expansion for every supply-chain participant.

This is a defense/edge exposure with a different deployment path from hyperscaler optical names. Customer concentration and government program timing can correlate with other small defense holdings. No existing portfolio Base override is changed by this artifact.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Program conversion	-1	Initial orders fail to broaden; defer uncommitted follow-ons and development conversion
Execution and supply	-1	Memory/GPU lead times delay shipments or price recovery; lower product margin and raise inventory
Customer concentration	-1	A few program schedules dominate a small revenue base; stress cancellation and qualification loss
Capital and dilution	-1	Cash funds operating investment; recurring SBC and possible issuance dilute per-share economics

Dated triggers and counters

Checkpoint	Positive evidence	Counter / model action
Q3/Q4 2026 results	Delivery trajectory supports \$40.25-41.86M annual sales	Below guide without timing explanation: rebase production and gross profit
2027 program milestones	Repeat intelligence-platform and commercial production orders	Do not convert full prospective four-year values into revenue without orders
Each 2027 quarter	Recurring opex held near \$5.3-5.6M with improving production mix	Persistent product GM below 40% delays operating break-even
2027-2028 review	Army evaluations progress to funded awards	No selection: retain zero standalone Army option revenue

Confidence is medium for guided 2026 totals and low for vector allocations and out-years. OSS does not publish product units, configuration ASPs or vector-specific gross margins. This is a fully exposed Plan B program model, not a claim of management

guidance for 2027-2030. The model uses rounded release data for actual-quarter OP and expressly discloses the rounding limitation.

8. Sources and snapshot

- **OSS-1** - August 5, 2026. Q2 results and increased annual outlook. Continuing financials, settlement and annual guide.
- **OSS-2** - August 5, 2026. Q2 management earnings call. Management primary remarks, program conversion and margin outlook.
- **OSS-3** - May 6, 2026. Q1 management earnings call. Prior-quarter calibration, components and development mix.
- **OSS-4** - August 18-19, 2026. Initial U.S. Navy storage order. Initial order versus contingent follow-on.
- **OSS-5** - September 16, 2026. Missile Defense Agency supporting award. Post-earnings award, no duplicate additive forecast.
- **OSS-6** - August 24, 2026. SEC shelf registration prospectus. Share count, securities and technology relationships.
- **OSS-7** - 2026 filing for FY2025. Company annual report, competition section. Reproduced primary filing; competitor screen.
- **OSS-8** - September 18, 2026. Historical market close. Dated price snapshot only.

Model snapshot: September 21, 2026. OSS. Framework 6.0.2. Base 42/60 (70%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My

Drive/1amInvesting/Artifacts/OSS_OneStopSystems_DeepDive.pdf and .md. The companion company worksheet uses this same model and links the ceiling path to the master portfolio.